

Advanced Micro Devices, Inc.

AMD

Technology

RATING	PRICE	TARGET
Sell	\$336.90	\$260.00

MARKET CAP \$549.03B	P/E (FWD) 80.5x	P/B RATIO 5.54x
ROE 6.9%	DIV. YIELD N/A	52W RANGE \$91.87 - \$352.99

Investment Thesis

“ Advanced Micro Devices, Inc. (AMD) is projected to achieve robust revenue growth with a CAGR of 20.5% through 2027, supported by an improving contribution margin expected to reach 52.5%. The company demonstrates strong financial health with anticipated EBITDA margins improving substantially to 42.0% by 2027, reflecting enhanced operational efficiencies. Despite a high current P/E ratio, AMD's growth prospects are reinforced by strategic investments and competitive positioning in the semiconductor industry.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company that designs and manufactures a wide range of innovative products. AMD’s business model focuses on developing high-performance computing and graphics solutions for the consumer, professional, and enterprise markets. The company’s product portfolio includes central processing units (CPUs), graphics processing units (GPUs), and related technologies for personal computers, gaming consoles, and data centers.

AMD has positioned itself as a formidable competitor in the semiconductor industry, particularly against rivals such as Intel Corporation (INTC) and NVIDIA Corporation (NVDA). The company has gained significant market traction through its Ryzen and EPYC processors, which are recognized for their high performance and energy efficiency.

AMD's Radeon graphics cards also contribute to its competitive edge, appealing to both gamers and professionals in creative industries.

In recent years, AMD has experienced substantial revenue growth, with a notable increase from **\$16.43 billion** in 2021 to **\$23.60 billion** in 2022. However, in 2023, the company faced a revenue decline of **3.9%**, bringing in **\$22.68 billion**. Despite this setback, AMD's revenue is projected to grow at a compound annual growth rate (CAGR) of **20.5%** through 2027, reflecting the company's strong market position and potential for future expansion.

AMD's financial performance has been marked by fluctuations in profitability. The contribution margin has improved from **46.1%** in 2023 to an expected **50.5%** by 2025, indicating enhanced operational efficiency. However, the EBITDA margin, which stood at **18.3%** in 2023, is projected to reach **42.0%** by 2027, suggesting potential for improved profitability.

Despite the promising outlook, AMD faces challenges, such as maintaining competitive pricing and managing operational costs. The company's earnings per share (EPS) have shown volatility, from \$2.61 in 2021 to a lower figure in subsequent years, reflecting pressures on net income.

In comparison to its peers, AMD's EBITDA and EV/EBITDA ratios have been competitive, though they highlight the dynamic nature of the industry. As AMD continues to innovate and expand its product offerings, maintaining its strategic initiatives will be crucial for sustaining growth and enhancing shareholder value in the highly competitive semiconductor market.

Investment Overview

Advanced Micro Devices, Inc. (AMD) has demonstrated notable financial performance with strong revenue growth figures. In 2021, AMD's revenue was **\$16.4 billion**, which rose significantly to **\$23.6 billion** in 2022. Although there was a slight revenue decline of **3.9%** in 2023, the company rebounded in 2024 with a **13.7%** increase, reaching **\$25.8 billion**. The projected compounded annual growth rate (CAGR) of **20.5%** through 2027 reflects a robust outlook for continued revenue expansion.

Key growth drivers include advancements in AMD's product offerings and an increased market presence across its segments. Notably, the company anticipates its EBITDA margin to improve significantly, reaching **42%** by 2027 from **25.3%** in 2021. This trend is supported by strategic cost management and scaling efficiencies.

AMD's earnings per share (EPS) is expected to grow, rising from \$2.67 in 2025 to \$3.18 in 2027, indicating strong bottom-line performance. However, the PE ratio remains relatively high compared to industry standards, suggesting that investors are pricing in future growth expectations.

In comparison to its peers, AMD has shown a competitive edge in EBITDA growth, especially when considering its 2025 performance relative to Intel (INTC) and NVIDIA (NVDA). The EV/EBITDA ratio, while fluctuating, remains moderate in comparison to NVIDIA's, which suggests potential room for value realization as AMD continues to execute its growth strategy.

Overall, AMD's financial trajectory and strategic positioning in the semiconductor market offer a positive investment outlook. The company's ability to sustain revenue growth, improve profitability margins, and leverage market opportunities positions it well for future growth, although potential investors should remain cautious of high valuation metrics.

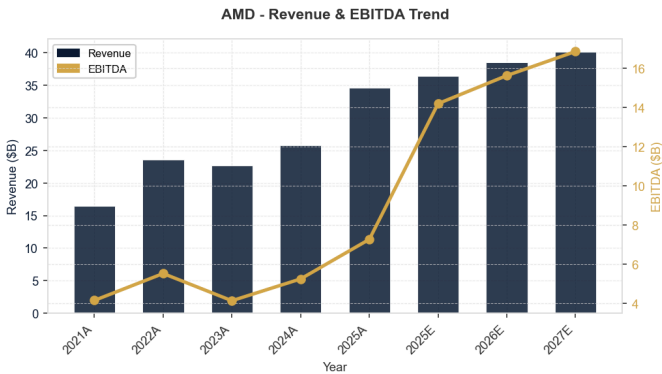
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$34.64B
EBITDA (2025A)	\$7.28B
Revenue Growth (2025A)	34.3%



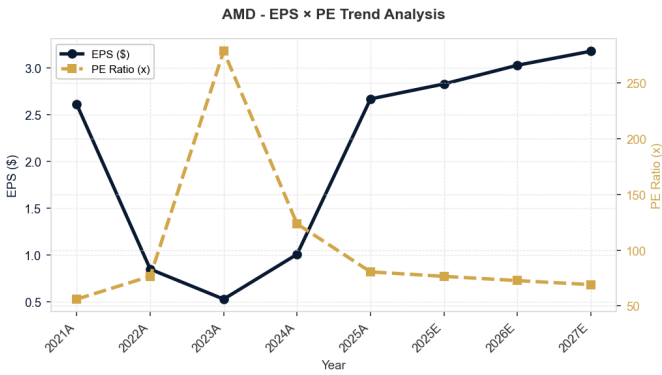
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	2.67
PE Ratio (2025A)	80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices, Inc. (AMD) has shown a robust growth trajectory in recent years, with significant revenue expansion and improving operational efficiency. The company's revenue is projected to grow at a CAGR of **20.5%** through 2027, indicating strong market demand and expansion capabilities. Despite a dip in revenue in 2023, AMD is expected to recover and continue its growth path with a revenue forecast of **\$40.1 billion** by 2027.

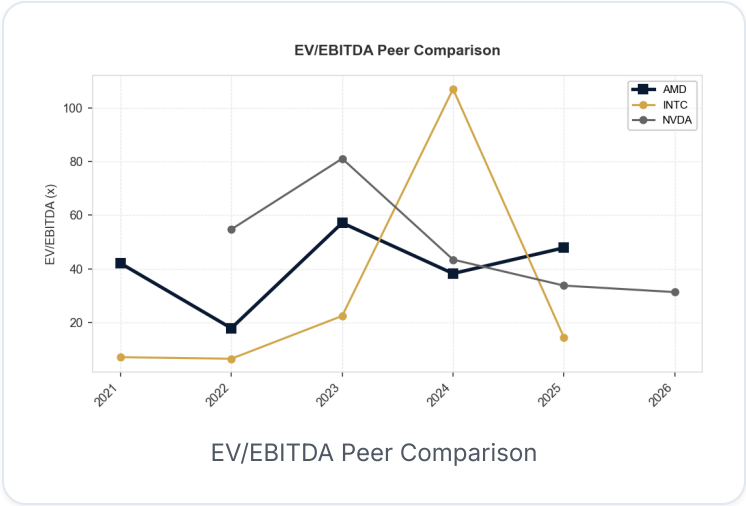
When comparing AMD to its peers, Intel (INTC) and NVIDIA (NVDA), AMD's EBITDA has been competitive, although it trails behind NVIDIA in terms of absolute figures, especially in the later years. NVIDIA's substantial EBITDA growth is reflected in its higher valuations, as seen in the EV/EBITDA ratios. AMD's EV/EBITDA multiple has varied significantly, peaking at 57.12 in 2023, which suggests market volatility and investor sentiment fluctuations.

AMD's price-to-earnings (P/E) ratio is notably high, reaching 278.59 in 2023, indicative of the market's expectations for future growth and profitability despite current earnings. This high P/E ratio, alongside a forecasted EPS growth, suggests that investors are optimistic about AMD's potential to enhance its earnings power.

In terms of fair value assessment, AMD seems to be trading at a premium relative to its historical and peer valuations, driven by its anticipated growth and margin expansion. However, its EV/EBITDA ratio indicates a valuation that is relatively high compared to peers like Intel but lower than NVIDIA, reflecting its position in the competitive landscape. Investors should consider AMD's growth potential against these valuation metrics, keeping in mind the inherent risks and opportunities in the semiconductor industry.

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



Recent News & Events

News Summary

Recent developments for Advanced Micro Devices (AMD) have shown significant market activity and potential investment implications. AMD's stock has soared by **65%** in April, driven by a combination of strong market trends and strategic business decisions. The company's recent performance is highlighted by a **13.9%** surge in its stock prices, partly due to a sudden CPU shortage which positions AMD favorably in the market. This shortage could potentially lead to increased demand for AMD's processors, providing a tailwind for future revenue growth.

AMD's financial metrics indicate a robust growth trajectory. The company is projecting a compound annual growth rate of **20.5%** in revenue through 2027, despite a slight dip in 2023. The EBITDA margin is expected to improve significantly, reaching **42%** by 2027, which indicates increasing operational efficiency and profitability.

Despite the positive outlook, Northland Capital Markets recently downgraded AMD from Outperform to Market Perform, suggesting that the recent rally might be nearing its peak. However, AMD CEO Lisa Su is optimistic about the future, emphasizing that the company is only in the early stages of a significant AI-driven

growth cycle. This long-term view aligns with AMD's strategic partnerships, such as compute-for-equity deals with tech giants like Meta and OpenAI, which aim to capitalize on AI advancements.

Retail sentiment shows a mixed picture, with varying degrees of bullishness across platforms. On Reddit, the sentiment has been falling, whereas on X.com, it remains stable and more optimistic. This divergence suggests that while there is enthusiasm around AMD's prospects, there are also cautionary voices considering the rapid stock price increase.

Overall, while AMD's recent performance and strategic positioning in AI and processors present a compelling investment narrative, investors should be mindful of the potential for overvaluation in the short term.

Retail Sentiment Insights

AVERAGE BUZZ 56.2/100	BULLISH AVG 65.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 72.1/100 Bullish 32.0% Mentions 2260 Trend falling	X.com Buzz 84.0/100 Bullish 63.0% Mentions 2986 Trend stable	Polymarket Buzz 12.6/100 Bullish 100.0% Trades 3 Trend stable	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)

▸ EBITDA: **\$11.9B - \$21.8B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$28.3B — \$51.9B
EBITDA	\$11.9B — \$21.8B

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-27): Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
Impact: HIGH, Probability: **95%**
- **Acquisition** (2026-04-27): AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
Impact: HIGH, Probability: **40%**
- **Market** (2026-04-27): The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
Impact: LOW, Probability: **50%**
- **Market** (2026-04-27): 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
Impact: LOW, Probability: **50%**

Risk Factors (Downside Risks)

- **Acquisition** (2026-04-27): Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
Impact: HIGH, Probability: **40%**

- **Acquisition** (2026-04-27): 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchrya Partners LLC
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: **40%**

Events to Monitor

- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)
- AMD CEO Says We're Only in Year 2 of 10-Year AI Build Out: Here's the Stock That Profits Most (2026-04-27)
- Intel's CPU Comeback Lifts All Boats — Can AMD and ARM Ride the Same AI Wave? (2026-04-27)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?

▲ **EARNINGS** Impact: medium

Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?

▲ **EARNINGS** Impact: medium

Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?

▲ **EARNINGS** Impact: medium

Why I'm Still Very Bullish Into AMD Earnings

▲ **EARNINGS** Impact: medium

What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally

Positive Catalysts

- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- ✓ The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years

✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?

✓ Why I'm Still Very Bullish Into AMD Earnings

✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally

✓ AMD Gains After DA Davidson Upgrade

✓ DA Davidson Upgrades AMD to Buy With a \$375 Price Target: The Big Winner of Intel Earnings?

✓ KG Eyes INTC Rally, AMD & TSLA Impact into Mag 7 Earnings Week Ahead

✓ Here's Why Advanced Micro Devices (AMD) is a Strong Momentum Stock

✓ AMD: You Haven't Seen Anything Yet (Earnings Preview)

✓ INTC, NVDA and AMD Forecasts – Chips Looking to Rally

✓ AMD Stock Tests Resistance As Intel Beat Sparks Sector Rally

✓ Advanced Micro Devices Stock Gets Upgraded to Buy. Why It's the Big Winner of Intel Earnings.

Risk Factors

⚠ Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD

⚠ 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchyra Partners LLC

⚠ AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD

Technical & Advanced Analysis

Technical Overview — AMD

Current Price: **\$336.90** | 52-Week Range: **\$91.87 - \$352.99**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$224.19** | SMA 200: **\$207.56**

RSI Overbought
RSI (14): **90.0** — Overbought territory, potential pullback.

MACD Bullish
MACD: **29.97** | Signal: **20.92** | Histogram: **9.05**

Volume Normal
Latest: **43.1M** | 20d Avg: **39.3M** | Ratio: **1.10x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B	-	\$8.6B
INTC	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B	-	\$47.4B
NVDA	-	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B	\$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

Advanced Micro Devices, Inc. (AMD) has shown impressive revenue growth over the years, with a compound annual growth rate (CAGR) of **20.5%** expected through 2027. However, the company's financial performance indicates some volatility, particularly in its EBITDA which saw a decline in 2023 before an expected significant

improvement in 2025 and beyond. AMD's EBITDA margin is projected to increase considerably, from **21.0%** in 2025 to **42.0%** in 2027, suggesting operational efficiency and potential profitability improvements.

When compared to its peers Intel Corporation (INTC) and NVIDIA Corporation (NVDA), AMD's EBITDA performance has been mixed. In 2022, AMD's EBITDA was significantly lower than Intel's but higher than NVIDIA's. By 2027, AMD is projected to have an EBITDA of approximately **\$8.6 billion**, which is still lower than both Intel's and NVIDIA's projections for that year. NVIDIA, in particular, shows a robust upward trajectory with substantial growth expected in its EBITDA, reflecting its strong market position in graphics processing units (GPUs) and AI technologies.

In terms of valuation, AMD's EV/EBITDA ratio fluctuated, peaking in 2023 before a more stable outlook in subsequent years. This fluctuation indicates market volatility and investor sentiment shifts regarding AMD's growth prospects. Comparatively, NVIDIA's EV/EBITDA ratio is higher, reflecting strong investor confidence in its future growth potential driven by its leadership in the GPU market.

AMD's competitive position is robust, with strong revenue growth and improving margins. However, the company faces significant challenges from larger competitors like Intel and NVIDIA, who have demonstrated either more stable financials or higher market valuations, particularly in AI and data center innovations.

Risk Factors

- ▶ **Volatility in Revenue Growth:** AMD's revenue showed a decline of 3.9% in 2023, and future projected growth rates are modest compared to past performance, indicating potential instability in sales momentum.
- ▶ **High PE Ratio:** The PE ratio reached 278.59 in 2023, significantly higher than industry norms, suggesting that the stock may be overvalued, which could lead to price corrections.
- ▶ **Low EBITDA Margin:** Despite an anticipated improvement, the EBITDA margin was only 18.3% in 2023, which is lower than peers like NVDA, indicating potential issues in cost management affecting profitability.
- ▶ **Competitive Pressure:** AMD's EBITDA and EV/EBITDA metrics are significantly lower than those of key competitors like NVDA, suggesting potential challenges in maintaining market share and profitability against stronger competitors.
- ▶ **Rising SG&A Expenses:** The SG&A margin increased to 12.0% by 2025, indicating escalating operational expenses that could pressure net margins if not managed effectively.

Key Takeaways

Revenue Growth

AMD experienced significant revenue growth with a Compound Annual Growth Rate (CAGR) of **20.5%** from 2021 to 2027E. This growth is marked by a substantial increase in 2022 (**43.6%**) and a strong forecasted rise in 2025 (**34.3%**), despite a temporary decline in 2023 (**-3.9%**).

Gross Profit Margin

The company's contribution margin has shown a positive trend, increasing from **48.2%** in 2021 to a projected **52.5%** in 2027E. This indicates an improvement in operational efficiency and cost management over the forecasted period.

SG&A Expense Margin

AMD's SG&A expense margin increased from **8.8%** in 2021 to a peak of **12.0%** in 2025, before stabilizing and slightly decreasing to **10.5%** by 2027E. This suggests an expansion in operational costs relative to revenue, which may impact profitability if not managed effectively.

EBITDA Margin

The EBITDA margin decreased from **25.3%** in 2021 to a low of **18.3%** in 2023, but it is projected to recover significantly, reaching **42.0%** by 2027E. This rebound reflects expected improvements in profitability and operational efficiency in the coming years.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	-	43.6%	-3.9%	13.7%	34.3%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
EBITDA/Int Exp	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.0	2.4	2.5	2.6	2.9
Cash Flow to Debt Ratio	5.33	1.25	0.56	1.37	1.72

AI4Finance Foundation FinRobot Equity Research

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